

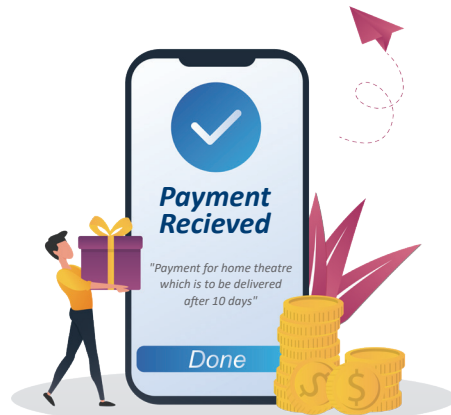
What are the different types of items that can be used as floats?

18	Purchases	0	0	0	0	0	0
19							
20	Accounts Payable						
21	Advance from Customers						
22	Accrued Expenses						
23	Other float like other current liabilities						
24	Non- interest bearing debt like other current liabilities						
25	Bad Debts Written Off						
26	Provision for Bad debt						
27							
28	Reverse Float like items (Short term loans and advances)						
29	One time recoverables (Short term loans and advances)						

Advance from Customers

If you receive a certain amount of advance from a customer, you have to offer or provide services in the future. This can be considered a float.

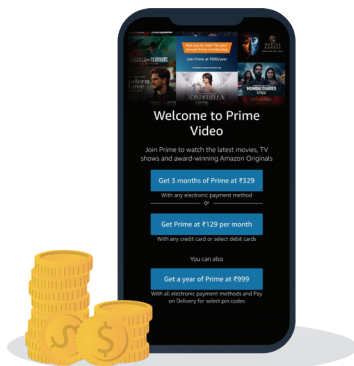
This is because it is not directly a liability because the company won't be paying any interest for it, and it is also not equity.



EXAMPLE

Let us consider the Amazon prime subscription. The company sells the subscription upfront.

So they get all the capital from their customers, but the revenue earned is only recognized in the coming 12 months. So this advance amount for the subscription can be considered as a float.



So, the company keeps the capital and doesn't need to pay interest. However, they can use it and reap the benefits or profit earned from it, and with time they will be offering the services mentioned in the contract.